alleviate the discomfort associated with the unexpected, people tend to view things that have already happened as being relatively inevitable and predictable. This view is often caused by the reconstructive nature of memory. When people look back, they do not have perfect memory; they tend to "fill in the gaps" with what they prefer to believe. In doing so, people may prevent themselves from learning from the past.

### Technical Description

Hindsight bias is the tendency of people, with the benefit of hindsight following an event, to falsely believe that they predicted the outcome of that event in the beginning. Hindsight bias affects future forecasting. A person subject to hindsight bias assumes that the outcome he or she ultimately observes is, in fact, the only outcome that was ever possible. Thus, he or she underestimates the uncertainty preceding the event in question and underrates the outcomes that could have materialized but did not.

Baruch Fischhoff[1] described an experiment in which he asked subjects to answer general knowledge questions from almanacs and encyclopedias. Later, after revealing the correct answers, Fischhoff asked his subjects to recall their original responses from memory. The results are revealing: in general, people overestimated the quality of their initial knowledge and forgot their initial errors. Hindsight bias is a serious problem for market followers. Once an event is part of market history, there is a tendency to see the sequence that led up to it, making the event appear inevitable. As Richard Posner[2] noted, outcomes exert irresistible pressure on their own interpretations. In hindsight, blunders with happy results are described as brilliant tactical moves, and unfortunate results of choices that were well grounded in available information are described as avoidable blunders.

One detriment of hindsight bias is that it can prevent learning from mistakes. People with hindsight bias connected to another psychological bias, anchoring, find it difficult to reconstruct an unbiased state of mind—it is easier to argue for the inevitability of a reported outcome and convince oneself that it would not have turned out otherwise. In sum, hindsight bias leads people to exaggerate the quality of their foresight.

## PRACTICAL APPLICATION

Many people have observed hindsight bias in the investment realm. They watch people fool themselves into thinking that they could have predicted the outcome of some financial gamble, but they achieve such crystal-clear insight only after the fact. Perhaps the most obvious example recalls the prevailing response by investors to the behavior of the U.S. stock market between 1998